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Spotify: Face the Music (Update 2024)

Govert Vroom
Isaac Sastre Boquet

> And while I'm pleased with the level of growth we saw in 2023, perhaps what is even more gratifying is that it also marked a very different year for Spotify, a true evolution in how we operate our company, a year where we started to prove that we're not just a company that has an amazing product, but one that also is building a great business.[1]

Daniel Ek was addressing the media during Spotify's earnings call in February of 2024. The company had again posted record figures: $13.1 billion in revenue, 236 million premium subscribers, and 602 million total monthly active users.

Nevertheless, as Ek pointed out, more than anything, 2023 represented a turning point in the company. Just a few weeks before, in December, Spotify had announced that it would be laying off 1,500 people—over 15% of its workforce—the third and largest of such layoffs in 2023. Furthermore, Spotify announced that Paul Vogel, the company's CFO, would be stepping down on March 31. Many of the departures had taken placed in the company's podcasting division, the core of an ambitious "audio strategy" that had seen Spotify invest over $1 billion since 2020 to acquire non-music content and technology to fuel growth.

The company continued to show losses over the year—an operating loss of $446 million—but Ek was confident that 2024 would be a year of significant progress toward company profitability. Investors seemed to be welcoming this new direction, with market capitalization doubling throughout 2023.

The fact was that Spotify had spearheaded the recovery of the music industry but had so far been unable to reap the benefits, reporting a net loss every single year since its founding in 2008. In announcing Vogel's departure, Ek affirmed that the company needed to achieve a better balance between growth and profitability, but how feasible was this? Did Spotify have a realistic path to profitability, or was there a danger of entering a vicious circle of stifling growth and innovation while also remaining unprofitable? Was there an alternative path?

This case was prepared by Professor Govert Vroom and Isaac Sastre Boquet, case writer. February 2024.
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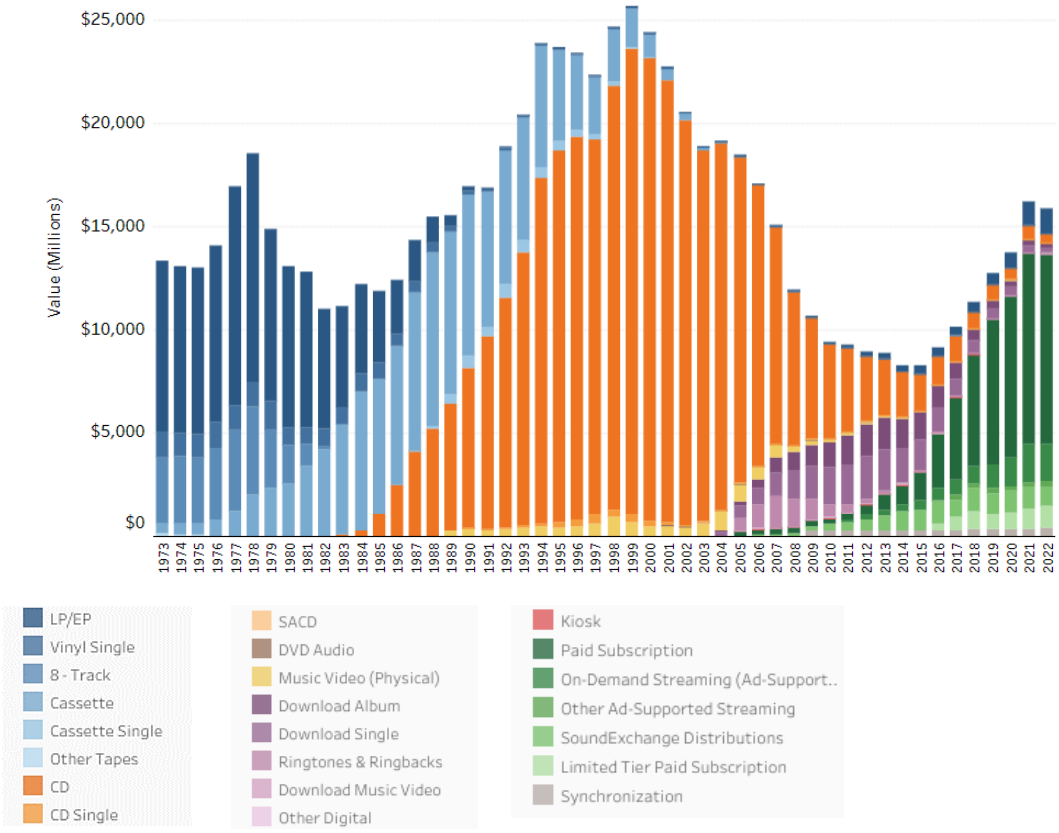
The digital medium and the music industry

In the late 1990s, thanks to the growing availability of Internet connectivity and the development of more efficient compression standards, such as MP3, music fans began listening and sharing music in digital form. This, however, caught the industry completely unprepared, with the likes of Napster, eMule, Kazaa, and many other peer-to-peer (P2P) file-sharing services that allowed users to share their favorite music easily and free of charge. Even though the industry strived to shut down these services via litigation, the genie was already out of the bottle. After an all-time peak of $38 billion in 1999, the industry entered a decade of steady decline, reaching an all-time low of $16 billion in 2011[2] **Figure 1** shows the collapse in sales of traditional physical media in the US market, the largest in the world.

Figure 1
Revenue of US music industry by format (1973–2022): 2022 dollars



Source: *U.S. Sales Database,* RIAA, accessed July 16, 2023.

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The industry, in general, blamed piracy for these lost sales, but Daniel Ek, co-founder of Spotify, had his own explanation:

> I realized convenience quite often wins…. It's not that people don't want to pay for music…. It was the only point in time when the stolen product has been much, much better than the one you legally acquired…. For me, it was a pretty big given why we ended up where we ended up in the music industry.[3]

In parallel with legal action to shut down sharing services, the music industry scrambled to find a way to leverage the new digital form and recapture business. However, these attempts—with sites such as eMusic, MusicNet, Pressplay, and MP3.com—were all initially unsuccessful, often undermined by the industry's mistrust of the new medium, which led to severely limited functionality and availability compared to the P2P alternatives.

The first success came with Apple's iTunes, which debuted in 2001. iTunes allowed the purchase and download of single music tracks and entire albums, which could be played on the company's then hugely popular portable iPod players.[4] Throughout the 2000s, many companies—such as Sony, Amazon, or Microsoft—attempted to replicate iTunes's model, but none came close to Apple's success.

The first comprehensive streaming service, Rhapsody, debuted in 2003, but it failed to gain a sizable customer base. It was not until the 2010s that this way of consuming music gain traction—fueled by more widely available broadband Internet and the growth of smartphones. In 2017, streaming became the largest revenue contributor to an industry that was finally back on a path of growth.[5] By that time, Spotify was already leading the global streaming market, and the Swedish company was joined by other strong competitors, including Apple Music (launched in 2015) and Amazon Music Unlimited (2016).

The music industry in 2024

According to the International Federation of the Music Industry (IFPI), in 2022, the global recording industry achieved revenues of $26.2 billion, representing 9% growth versus 2021[6] and the eighth consecutive year of growth. These figures excluded revenue from live music, which was projected to reach $31 billion globally in 2022.[7]

The recording industry's largest markets were the United States, Japan, and the United Kingdom. North America was, in fact, the largest contributor, with 41.6% of all recording industry revenue generated in the United States and Canada. However, while growth was slowing in larger and more mature markets, such as the United States (5% growth vs. 2022) and Europe (7%), emerging regions, such as sub-Saharan Africa (34%), Latin America (26%), and the Middle East and North Africa (24%), were growing at a rapid pace. Furthermore, Asia was growing at a 15% rate, although the industry was growing even more substantially in China (28%), which had become the fifth largest country in terms of revenue.[8]

In recent years, much of the growth of the industry has been driven by streaming, which accounted for 67% of all revenue by 2022 (see **Figure 2** for a breakdown of global revenue by source)—a record figure. This was particularly pronounced in certain emerging markets. For example, in 2022, streaming comprised 95% of the industry in the Middle East and North Africa and 85% in Latin America. Streaming revenue was derived from subscription fees (48.3% of all industry revenue) and advertising (18.7%).[9]

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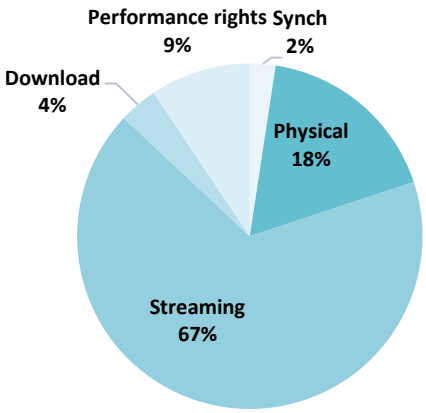
Ironically, vinyl—which was once on the verge of extinction after the massive success of CDs in the 1990s—was now the most popular physical format in several markets (e.g., the United States), as it was successfully repurposed as a collector's item. Physical formats remained very popular in Asia (49% of all physical sales), particularly in the Japanese market.

Figure 2
Revenue of global music industry by source (2022)



Royalties for synchronization rights were paid for permission to synchronize music with other media (e.g., films, TV shows, and video games). Royalties for performance rights were paid for permission to play recorded music in public (including by TV and radio broadcasters and in public venues). Source: *Global Music Industry Report 2023*, IFPI, accessed June 27, 2023, https://globalmusicreport.ifpi.org/.

The labels

Record labels long comprised a key sector of the music industry. These companies entered into contracts with artists to produce music, acting as both publishers and promoters, coordinating and handling the recording, manufacturing, marketing, and distribution of music. The finished records were sent to distributors (e.g., Spotify), who delivered them to listeners in various ways.

The recording industry was highly concentrated and dominated by the three so-called "major labels": Universal Music Group, Sony Music Entertainment, and Warner Music Group. The number of major labels had fallen from five to three after the sale of BMG to Sony in 2008 and the breakup of EMI (parts of the business were sold to Warner and Sony in 2011). In 2022, these three companies accounted for nearly 70% of the global recorded music market, a share that had remained relatively stable for several years. They were part of multinational conglomerates (Vivendi, Sony, and Access Industries, respectively), with significant holdings in the media and communications industries, leading to various degrees of horizontal and even vertical integration.

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Table 3
Recording industry's global market share in 2022

Company	Physical revenue share	Digital revenue share	TOTAL
Universal Music Group (Vivendi)	27.6%	33%	**31.9%**
Sony Music Entertainment	17.7%	23.2%	**22.1%**
Warner Music Group (Access Industries)	10.9%	17.2%	**16%**
Others	43.7%	26.5%	**30%**

Note: Total share figures calculated using all recorded music trade revenue, including licensing and other revenue as well as income from physical and digital music sales.

Source: Prepared by the authors based on "UMG Increases Recorded-Music Market Share Lead, Indies Enhance Publishing Dominance," Music & Copyright's Blog, last modified April 25, 2023, and "Recorded-Music Market Share Gains for SME and the Indies, Publishing Share Growth for UMPG and WCM," Music & Copyright's Blog, last modified April 25, 2023.

Outside of the major labels lay a very diverse space comprising thousands of independent labels (the "indies"). This was a very fragmented field where the largest independent labels (e.g., Beggars Group) barely earned revenue exceeding $100 million.[10] One of the reasons for the dominance of the major labels was the cost of breaking a new artist. A study by the RIAA revealed that in 2013, labels spent between $500,000 and $2 million on average to sign and promote a new artist.[11] Overall, the music industry as a whole invested $5.8 billion in 2022 in order to bring music to market (including scouting and signing artists, recording albums, and marketing),[12] representing about 25% of total revenue.

As a general strategy, major labels were trying to expand their relationships with artists, particularly by developing new business opportunities in digital areas (i.e., videogames, social media, or Web3).

Consumers

According to a worldwide online survey by the IFPI, in 2023, the average consumer listened to 20.7 hours of music per week, a figure that had been trending upward and was up from 18.4 hours in 2020.[13, 14]

By 2023, the ways in which people consumed music had become very diverse. Listening time was divided as follows: 32% audio streaming (e.g., Spotify), 31% video streaming (e.g., YouTube and TikTok), 17% radio stations (either "over-the-air" or Internet), 9% purchased music (physical media or downloads, 5% social media (e.g., Facebook or Instagram), 4% live music, and 7% other sources (e.g., TV or movies). Users who admitted to using unlicensed sources of music amounted to 29%. Remarkably, short-form video apps, such as TikTok, were now the preferred way of consuming music for people aged 16–24.[15]

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Spotify

Daniel Ek and Martin Lorentzon founded Spotify in Sweden in 2006 after having both worked for several Scandinavian-based online startups. Ironically, Sweden was infamous for hosting The Pirate Bay, the largest search engine for illegally downloading music and video content on the Internet. Spotify finally launched in October 2008 in Sweden and other Western European markets after announcing deals with all the major labels and several independent companies, which allowed it to stream their catalogs.[16]

Spotify was launched in the United States in 2011, growing quickly there. It expanded geographically, and by 2023, it was available in 180 countries or territories, spanning the Americas, Europe, Asia, Africa, and Oceania. By November 2023, following years of fast growth, the company claimed 226 million premium subscribers and 574 million total users.

The company has traded on the New York Stock Exchange since April 3, 2018, debuting at $149 per share (a market cap of $26.5 billion).[17] It reached a peak stock price of $364 in February 2021 at a time when the effects of the COVID-19 pandemic—which limited access to forms of entertainment outside the home—were driving the valuations of streaming services. However, the stock fell to all-time lows of under $80 by the end of 2022; however, after a sustained rally throughout 2023, by early 2024, it began trading at around $230.[18] Spotify had just completed an ambitious geographical expansion, adding 80 countries in Africa, Asia, and the Middle East since 2021. In general, emerging markets pose a significant challenge to companies such as Spotify. Piracy was still a major factor in these countries, and some local companies offered popular ad-supported music streaming services. Thus, music subscriptions were still a hard sell. Spotify then introduced prepaid options (running for a day, a week, or more) as an alternative to the company's traditional recurring monthly subscription. By the end of 2023, the ROTW region[19] was now providing 32% of Spotify's total monthly active users (MAUs)—more than any other region—while providing only 13% of premium subscribers. Europe led in subscribers (38%) and was second in MAUs (28%). Figures were also completed for Latin America (22% both subscribers and MAUs) and North America (27% subscribers and 19% MAUs).[20]

In 2017, Spotify engaged in an equity swap with the Chinese social media and retail giant Tencent, and by 2024, Tencent held 8.5% of Spotify, which in turn held 8% of Tencent's music streaming service—Tencent Music.[21] Spotify was barred from launching in China due to local restrictions on companies dealing with cultural goods, but Tencent's own music streaming apps had over 600 million users in China (its only market) in 2023, of which 93 million were premium subscribers.[22] Tencent Music was thriving because of a free service offering, which was then monetized with ancillary purchases, such as karaoke tools, digital gifts that could be retained or sent to friends, and the ability to watch live concerts.

The Spotify business model

In 2024, Spotify operated a "freemium" business model in most of its markets; that is, it offered two service tiers: one paid and one free. Both tiers allowed unlimited on-demand listening to every song in the Spotify catalog (100 million tracks as of 2024) for an unlimited number of times from any personal computer or mobile device. This included the majority of the platform's non-music content, such as podcasts (5 million titles) and audiobooks (350,000), although some had to be purchased separately.[23]

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Users of the free service occasionally had their playback interrupted by short audio advertisements or pop-ups. Premium users could listen to music without being interrupted by ads, had access to higher-quality audio, and enjoyed other features.

Spotify provided an app that could be installed on many devices, from Android and iOS smartphones and tablets to smart TV receivers and even Internet of things devices, such as Amazon Echo. Notably, only premium users could play music on demand using the app. Free-service users were unable to select specific songs but could use "shuffle mode," which allowed Spotify's algorithm to play random songs following certain user-provided guidelines (e.g., genre, era, or artist). Table 1 shows the differences between the two service tiers.

Table 1
Spotify service tiers (2024)

	Free	Premium
Full music catalog access	Almost[a]	Yes
Playlists	Yes	Yes
Play music tracks on demand	Partial[b]	Yes
Full podcast catalog access	Yes[c]	Yes[c]
Full audiobook catalog access	No	15 hours/month[c]
Song skips in shuffle mode	6/hour	Unlimited
Ad-free listening	No	Yes
Sound quality (kbit/s)	160	320
Offline mode	No	Yes
Monthly fee	$0	$10.99[d]

[a] Some newly released tracks and albums were held back from Spotify's free version for a few weeks.

[b] Free-service users on mobile platforms (such as iOS and Android) could select artists, playlists, and albums but not specific tracks. Users of desktop platforms had unrestricted choices.

[c] Excludes podcasts and audiobooks requiring separate purchase.

[d] Price for the undiscounted baseline premium tier in the United States.

Source: Prepared by the authors.

The interface also offered access to popular playlists made by other users or curated by Spotify. Moreover, Spotify generated a variety of playlists using algorithms based on the user's listening habits, available under the "Made for You" tab. The discovery mode—which was completely revamped in 2023—allowed users to swipe down to watch auto-played short videos of recommended artists and playlists in a way reminiscent of other social media (e.g., Tik Tok and Instagram). Users could also check the tour dates of their favorite artists, see any live events near their location, and buy tickets through partners, such as Ticketmaster, Songkick, or Eventbrite.

Playlists progressively became the core of how music was shared and consumed on Spotify, to the point where, for an artist, being placed in a popular playlist was one of the best ways to access new listeners or promote new songs. For example, research found that the first track in Spotify's weekly "New Music Friday" curated playlist obtained, on average, 14 million additional streams in the United States in 2017.[24]

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As of 2024, Spotify had several social features. Inside the app, users could "follow" their friends to see what music they were listening to. They could also follow artists, bands, and other personalities in order to get news about them and receive alerts for newly released songs on Spotify or shared content (e.g., videos or news) with fans. Integration with social media and messaging apps (e.g., Facebook, Twitter, and Telegram) allowed users to share tracks, playlists, or tour dates on social media.

Quick innovation and decision-making have been key to Spotify's culture. "Success for us will be determined by our ability to move faster than everybody else in this space," Ek said.[25] To exemplify, Ek spoke about how the company had launched its free mobile app the very same day that the licensing deals were signed. The company simply could not afford a traditional testing calendar at a critical time in its growth journey. As Ek put it, "We aim to make mistakes faster than anyone else."[26] Thus, Spotify was not afraid to tinker with its offerings, pivot its strategies, or even backtrack on some of the changes it had introduced. Its engineering culture was also influenced by agile working methodologies, which were adapted as the company grew, with a view to always being quick to launch. By 2022, 4,169 of Spotify's 8,359 employees worked in R&D.[27]

Spotify for artists

Spotify for Artists provided a platform for artists to harness the data generated by Spotify streams of their music, manage their profiles, and engage with fans.[28] Artists could then check the absolute number of listeners to each of their tracks, down to geographical areas, such as cities, and could break down listeners by age and gender. They could also get data about the source of the songs (i.e., whether listeners had listened to the artist's song from a playlist or had specifically searched for it, etc.), the kinds of genre playlists they were added to (hard-rock, pop, etc.), as well as graph these data over time.[29] Spotify then used the data to provide market insights; for example, it determined that, on average, 2% of a given artist's listeners (what Spotify called "Super Listeners") drove 52% of merchandising sales through the platform.[30]

Artists could also use Spotify for Artists to list and promote their tours and upcoming albums, sell merchandise, and create and share their own playlists with their fans. As an example of the platform's potential applications, the heavy metal band Metallica used it to tailor the setlists of its 2018 tour to include songs that were popular in the cities where they were playing.[31]

Finally, over time, Spotify added several promotional tools for artists. Discovery mode could be used to prioritize certain tracks within an artist's catalog. Artists could also buy targeted ads (Marquees and Showcases) to promote their music among likely listeners (as determined by Spotify's algorithm).[32] They could also "pitch" their songs to Spotify's editors for potential listing in the platform's curated playlists (e.g., New Music Friday), which were prominently featured. In doing so, artists could tag the song with several metadata (e.g., their geographical area, genre, mood) and even write a short text discussing it. In 2023, Spotify rolled out its "Campaign Kit" tool, which integrated these features, helped artists organize their promotional actions on the platform, as well as measure their impact.[33] These actions could now be highly targeted; for example, an artist could target fans who had actively searched and played their music, but who had not done so in the past months, in order to re-engage them.

Spotify had also been rolling out similar features for its non-music content. In 2023, it integrated these features into Spotify for Podcasters, which, in addition to analytics and promotional features, offered creators free hosting for their podcasts and even editing tools.[34]

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Financial performance

When Spotify launched in 2008, it did so with major music labels taking 18% of its shares, amounting to a combined contribution of around €8,800 (then about $13,000).[35] On the face of it, Spotify's performance during its short life is nothing less than exceptional, with the company posting staggering growth rates year after year. In 2014, it surpassed €1 billion in revenue, and milestones were reached at a rapid pace: €2 billion in revenue in 2015, €5 billion in 2018, and over €10 billion in 2022 (see Table 2 for Spotify's financial data).

Table 2
Spotify financial data for 2015–2023 in millions of euros

	2016	2017	2018	2019	2020	2021	2022	2023
Revenues	**2,952**	**4,090**	**5,259**	**6,764**	**7,880**	**9,668**	**11,727**	**13,247**
• *Premium*	2,657	3,674	4,717	6,086	7,135	8,460	10,251	11,566
• *Ad-supported*	295	416	542	678	745	1,208	1,476	1,681
Cost of sales	**2,551**	**3,241**	**3,906**	**5,042**	**5,865**	**7,077**	**8,801**	**9,850**
• *Premium*	2,221	2,868	3,451	4,443	5,126	5,986	7,355	8,231
• *Ad-supported*	330	373	455	599	739	1,091	1,446	1,619
Total as % of revenue	86	79	74	75	74	73	75	74
Gross profit	**401**	**849**	**1,353**	**1,722**	**2,015**	**2,591**	**2,926**	**3,397**
Operating expenses	750	1,227	1,396	1,795	2,308	2,497	3,585	3,843
• Research and development	207	396	493	615	837	912	1,387	1,725
• Sales and marketing	368	567	620	826	1,029	1,135	1,572	1,533
• General and administrative	175	264	283	354	442	450	626	585
Operating income	**−349**	**−378**	**−43**	**-73**	**-293**	**94**	**-659**	**-446**
as % of revenues	−12	−9	−1	-1	-3	1	-6	-3
Active users at end of year (millions)	124	160	207	271	345	406	489	602
Paid subscribers at end of year (millions)	48	71	96	124	155	180	205	236
Percentage of paid users	39	44	46	46	45	44	42	39
Paid user ARPU[a] (euros per month)	6.20	5.32	4.81	4.72	4.31	4.29	4.52	4.39

Note: Figures might not add up due to rounding.

[a] Average revenue per user.

Source: Spotify, "Spotify — Financials," Spotify — IR Home, last accessed February 7, 2024, https://investors.spotify.com/financials/default.aspx.

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There was a patent caveat in Spotify's growth story. From its launch in 2008, the company was yet to post annual profits. Its explosive growth was accompanied by losses; however, its financial situation was thought to be secure. Its rapid expansion required significant investment, but it had no trouble raising capital. Beginning in 2007, it successfully completed 18 funding rounds, reportedly raising a cumulative total of $2.1 billion (€1.95 billion in 2023).[36] This resulted in positive cash flows, and by the end of 2023, it had €3.11 billion in cash and cash equivalents.

Nevertheless, in 2023, Spotify raised the prices of all of its premium plans in most of its European and North American markets (e.g., from $9.99/€9.99 to $10.99/€10.99 for the basic plan), matching price hikes adopted by most of its competitors in the previous year (see **Exhibit 1**, a comparison of all major music streaming services in 2024).This was the first time in 15 years that Spotify had raised the price of its basic plan. In addressing this change, Ek explained as follows:

> The overall goal is, per market basis, grow our revenue, and we're trying to grow at 20%. … And so there's three ways to do that. One is obviously to grow the number of consumers. That's our preferred way of doing that and keep the value to price super high because that creates optionality. But when user growth slows down, take Sweden as a great example, where we're already at a massive part of the population there, then price increases become an even more important tool in the toolbox. And then thirdly, of course, we have grown revenues through our new verticals or new products.[37]

The royalties issue

According to Spotify's accounts, the single largest expense item was always the cost of goods sold. This consisted mainly of the royalties that the company paid to rightsholders in order to access their catalogs to offer to Spotify customers, in addition to the IT costs of delivering content to customers.

Royalties are regulated by intellectual property laws, which can differ among jurisdictions. Spotify's royalty payments consisted of two types:

- *Songwriting royalties*: These cover the lyrics and music sheets necessary to perform songs. In most markets, songwriting royalties are set by public regulators.
- *Recording royalties*: These cover the actual recorded audio of a musical performance streamed by Spotify. These royalties are set by contract between Spotify and the holders (usually a music label) of a performance. Such contracts are very complex and can differ for different labels and territories. Spotify signed several agreements with major labels in order to gain access to their catalogs.

The duration of these agreements with the labels has generally been short, and Spotify has had to renegotiate them every few years, 2020 being the last time. Below are some of the main features of these agreements:

- Spotify does not pay a fixed amount per stream. Instead, a percentage of monthly revenue is allocated to royalties, which are distributed according to the market share of each track within the total number of streams that Spotify delivers during the period. Spotify does not pay artists directly but rather the labels, who then distribute royalties according to their own deals with the artists.

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- Free and premium services have different royalty rates. Spotify pays a larger percentage of its revenue from the free service (which is much smaller on a per-user basis). In 2024, for example, Spotify's cost as a percentage of revenue for its premium service was 71% and 96% for its free service.

Artists and Spotify

Artists ask me all the time why they're not making more money. If the music industry is generating so much, then where the hell is it going? These are fair questions.

Daniel Ek[38]

According to estimates preceding Spotify's price increase, artists were paid on average $0.003 every time one of their tracks was played on Spotify. This was far lower than estimates made for other competitors, such as Tidal ($0.013) or Apple Music ($0.008), although it was similar to Amazon ($0.004) and higher than YouTube Music ($0.002).[39]

To earn the minimum US federal wage (approx. $1,300/month in 2023), artists on Spotify would need to have their songs played more than 430,000 times each month. Roughly speaking, only 17,800 artists earned over $50,000/year, while 91,200 earned at least $5,000/year. This could be compared to the approximately 200,000 artists that Spotify considered "professional" (those who had at least 10 tracks on Spotify and attracted at least 10,000 monthly listeners in 2023) and the pool of nine million artists who had uploaded tracks to the platform. On the other side of the spectrum, 1,000 artists earned over $1 million, and just 40 over $10 million. Interestingly, roughly 25% of the artists who earned over $100,000/month were self-published.[40]

In November 2023, Spotify announced that it would be revamping its royalty payment scheme, establishing a minimum of 1,000 streams/month to be eligible for payment. The company claimed that this was aimed at penalizing bad actors who tried to game the system by flooding it with tracks. However, other industry players thought that this might be the beginning of a shift away from small artists that drove little business to the platform.[41]

However, was there an alternative for artists? Artist-friendly platforms, such as Tidal (which gave the best terms to artists among all streaming platforms),[42] had struggled to survive, and even high-profile artists who had pulled their tracks from Spotify or other streaming services were forced to accept the new realities of the market. This was the case with Taylor Swift, one of the best-selling artists of the 2010s and 2020s, who, in 2014, pulled her catalog after objecting to her presence in Spotify's free tier, claiming that "Valuable things should be paid for. It's my opinion that music should not be free, and my prediction is that individual artists and their labels will someday decide what an album's price point is."

Swift managed to get Apple Music to reverse its practice of not paying artists royalties during free trials of the service (Apple had argued that these trials generated no income to share). However, she returned to Spotify in 2017 after obtaining a small concession: the possibility for artists to keep new albums off Spotify Free for two weeks after release. Scott Borchetta, CEO of Swift's then-distributor Big Machine, said at the time that "It doesn't matter what we felt two or three years ago; what we have now is what we have to make work."[43]

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Some observers claimed that artists—particularly smaller ones—could use Spotify as a promotional tool, leveraging the exposure it brought to increase their revenue from live music. Live music generally provided artists with the majority of their income. For example, in 2017, the top 10 artists by earnings derived more than 75% of their income from live shows.[44] Overall, live music was estimated to bring in $23 billion globally in 2023 in ticket sales, with approximately $5 billion more in sponsorships.[45] As a rough guideline, it was estimated that an average band or artist was paid around 40% to 60% of the ticket gross before their own costs (e.g., management, touring crew, transportation, and rehearsals).[46] The live music segment had a dominant player, Live Nation Entertainment, which controlled over 70% of the market.[47]

Some popular artists had begun selling the rights to their catalogs to labels or investment firms. For example, Universal paid $400 million for Bob Dylan's catalog in 2020. Even though most deals involved artists with long careers or the estates of dead popular musicians, such as Bob Marley and Whitney Houston, younger artists, including Shakira, Justin Bieber, and John Legend, were also involved in similar deals.[48,49] Popular catalogs are very valuable. In fact, in 2022, what Spotify called "heritage" artists (those deriving 80% of their revenue from tracks older than five years) brought $1.2 billion to the platform.

In sum, by 2024, music industry stakeholders had come to grips with how consumers were embracing Spotify and music streaming *en masse* as their preferred way of consuming music. Streaming had become the backbone of the music industry as it emerged from the digital crisis that had affected it since the beginning of the 21st century.

Non-music content

In 2019, Spotify began expanding into non-music audio content (e.g., podcasts, audiobooks). Explaining the goal of this "audio strategy," Daniel Ek made the following remarks:

> Today, audio is only one-tenth of the size of the video market, so there is a massive opportunity here for audio to evolve into a more personalized, more immersive experience, much like how the video industry has evolved. We believe that, over time, more than 20% of all listening on Spotify will be non-music content.[50]

Spotify appointed Dawn Ostroff, a former TV executive at UPN and The CW, to the newly created position of chief content officer.[51] In the following years, Spotify engaged in a frenzy of acquisitions, adding several companies that provided either non-music content (e.g., podcasts) or services such as advertising technology, editing tools, analytics, or live audio streaming. Spotify also recruited popular podcasters, such as Joe Rogan, who signed an exclusive deal reportedly worth $100 million,[52] and celebrities Meghan Markle and Prince Harry, Michelle Obama, and Kim Kardashian. The company also entered into a deal with Warner Bros to offer content based on the characters of the publisher DC Comics (owner of, e.g., Batman, Superman, and Wonder Woman comics).[53] Furthermore, in September 2022, Spotify began offering audiobooks through the platform, amassing the second largest audiobook catalog in the United States behind Audible by the end of 2023.[54]

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Overall, the company invested over $1 billion in its audio strategy.[55] Ek explained the rationale behind the heavy investment in this area:

> It is primarily about driving that virtuous cycle. What we see very clearly as we're investing in more podcast content is engagement goes up. As engagement goes up, we both broaden the appeal to new users but we also increase the engagement of the existing ones on the platform—which drives down churn, which in turn makes the business overall much stronger.[56]

Spotify Free users could play podcasts on demand while on smartphones and even download them; in the case of music, features that had only been available to paid subscribers. Podcast ads—often featuring hosts acting as endorsers—were potentially more valuable than those inserted while listening to music. In this regard, it was projected that podcast advertising in the US would reach $2.3 billion in 2023.[57] Spotify itself considered the global audio market "a $20 billion opportunity." In 2021, it brought in $215 million in podcast-related revenue.[58] However, it expected that this revenue would grow at a faster pace than its overall growth.[59]

Spotify offered several options to monetize podcasts. Authors could set up paid subscriptions or donations (keeping 95% of the revenue minus processing charges) and opt in to several ad campaigns.[60] With this in mind, Spotify set up the Spotify Audience Network, a marketplace that connected advertisers with podcasters. Moreover, in 2023, it launched a collaboration with the popular patronage platform Patreon. This platform allowed "patrons" to make one-time or recurring donations to creators in exchange for exclusive access to their latest releases and other exclusive content and interactions.[61]

In addition to these deals with external independent podcasters or publishers, Spotify acquired a number of podcast studios (e.g., Gimlet Media, Parcast, and The Ringer) that produced company-owned podcasts. The Ringer, for example, produced a large number of sports or pop-culture podcasts; Parcast was known for its scripted true crime shows; and Gimlet featured several ambitious award-winning podcasts dealing with a range of social, economic, and cultural topics. These shows ranged in production cost from $5k to $20k for a Parcast show to $75k to $250k for a Gimlet show. Spotify's internal studios would occasionally bid competitively for new podcast proposals.[62]

Regarding audiobooks, premium users could listen to 15h/month worth of audiobooks. If they exhausted the quota, they could purchase additional 10-hour passes for $10,99. By early 2024, the premium catalog included access to "over 200,000" audiobooks from a total of 375,000. The remainder were available as separate purchases.[63]

Spotify's competition

Spotify dominated the global streaming segment. In Q3 2023, its customers comprised 31.7% of music streaming service subscribers, over twice the market share of its closest competitors, Tencent (14.4%), Apple Music (12.6%), Amazon (11.1%), and YouTube Music (9.7%).[64] Spotify's share had overall remained steady (it was 33% in mid-2018[65]).

Indeed, once Spotify proved the viability of streaming, the space began attracting the attention of large tech companies, such as Amazon, Apple, Tencent, and Google. Apple and Amazon, in particular, had already been important players in digital music during the first decade of the 21st century when digital downloads emerged as the first successful business model for digital music.

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For example, in 2015, Apple launched Apple Music[66] with the aim of leveraging the considerable number of people who were already using Apple products and services, particularly those who were already listening to music using iTunes. Apple Music featured Hi-Fi lossless audio, playlists curated by famous artists and DJs, social features, exclusive tracks, and integration with the Siri voice-controlled personal-assistant feature of most Apple products. It had also recently launched Apple Classical, a version of the app with features suited to classical music fans (e.g., filtering tracks by composers, conductors, or specific performers).

All this was available at the same price point as Spotify's premium service: $10.99 a month (see **Exhibit 1** for a comparison of Spotify, Apple Music, and several other streaming music services operating in 2024). Apple Music could also be bundled with other Apple services (e.g., Apple TV, Apple Arcade, and iCloud) through Apple One for $19.95/€19.95 a month. Even though Apple did not release regular subscription data, it was estimated that in the autumn of 2023, around 90 million people had subscribed to Apple Music.[67]

Another industry player, Amazon, launched its Amazon Music service in 2016.[68] The premium tier—Amazon Music Unlimited—was available for $10.99 and offered features comparable to those of Spotify (including a catalog of 100 million music tracks). However, Amazon also bundled a version of the service with each Amazon Prime subscription (Amazon Prime Music), with full catalog access in shuffle mode.

Amazon also offered a free ad-supported version (Amazon Music Free) with a limited catalog of two million songs exclusively in shuffle-mode.[69] While Amazon did not report subscriber figures, Amazon Music Unlimited had an estimated 79 million subscribers in 2023.[70]

Both companies competed aggressively with Spotify. Apple Music was known for offering long free trials (three to six months) to potential customers, and each Apple device came with a three-month Apple One subscription. Meanwhile, Amazon had recently expanded the catalog of its bundled Amazon Prime Music service to 100 million tracks, making it a strong competitor for Spotify Free.[71] Amazon also bundled several other services with its Prime subscription, including video streaming (Prime Video), live streaming (Twitch), and eBooks (Prime Reading), in addition to free shipping, in a large selection of products on the company's e-commerce platform. Prime was priced at $14.99/month in the United States, and in 2023, there were an estimated 180 million subscribers worldwide.[72]

In 2021, both companies also began offering lossless audio to their customers, a feature that Spotify was yet to launch, despite persistent rumors.[73] Some observers believed that these companies could afford to see their streaming businesses as loss leaders in order to drive customers to their core activities. As Tim Cook said in an interview: "We're not in it for the money."[74]

Google—after many struggles—had managed to build a relevant presence in the music streaming space. While it had repeatedly tried to establish a successful premium music streaming service since 2011, going through many iterations (e.g., Google Play Music, Music Key, and YouTube Red), its services failed to gain traction. However, its latest attempt—YouTube Music—was finally taking off, gaining an estimated 70 million subscribers by Q3 2023.[75] Priced at $9.99/month, it offered unlimited streaming of music and music videos through a dedicated app with similar features as those of Spotify. It could also be bundled with YouTube Premium ($11.99/month) for ad-free access to the entire video catalog of the YouTube platform. There was also a free ad-supported tier (YouTube Music Free) with an unusual limitation: users could not listen to music with the app in the background or the screen turned off—the app had to be active with the device screen on.

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Nevertheless, the estimated subscriber count belied YouTube's importance in the music industry. In 2022, an IFPI survey showed that 19% of music was consumed through longform video websites,[76] of which YouTube was undoubtedly the largest, with around 2.7 billion monthly users.[77] Moreover, YouTube was also a strong competitor in non-music content. Authors could upload their content to YouTube and monetize it, retaining 55% of the advertising revenue they generated.[78] This content could range from simple productions, such as a host sharing their thoughts on a topic, to very sophisticated productions akin to a professionally produced documentary. In 2022, the top earners on the YouTube platform were estimated to be MrBeast ($54 million), boxer Jake Paul ($45 million), and videogame expert Markiplier ($38 million). YouTube's overall revenue was $29.2 billion in 2022. [79]

Internationally, in 2024, the most important player was Tencent Music, the second largest music streaming company in the world in terms of premium subscribers. Tencent operated several streaming services (QQ Music, Kugow, and WeSing) through freemium business models and a focus on optional purchases (e.g., digital collectibles). However, it was only operational in China, where it held over 50% of the market. Other music streaming services with a strong regional presence were NetEase (China) and Yandex (Russia and the Caucasus).

ByteDance, the Chinese company behind the ubiquitous short video social media app TikTok, was also rolling out its own music streaming service—TikTok Music. In mid-2023, it was available in Indonesia, Australia, Mexico, Singapore, and Brazil. TikTok Music was integrated into the main TikTok app. For example, if users liked a song featured in a TikTok video, they could tap and listen to it in full in TikTok Music. They could also share their favorite music with their TikTok community. However, while ByteDance has not announced plans for release in the United States or Europe,[80] it added more music-centric features to the main TikTok app, such as artist accounts, which they could use to showcase their music and interact with fans.[81]

These large global and regional players were joined by a slew of smaller streaming services. Some of them were generalist offers like Spotify (i.e., Tidal, Deezer), while others targeted specific niches (e.g., Primephonic and Idagio for classical music, BeatPort for electronic), offering features tailored to these audiences.[82]

Within this group, an interesting example was SoundCloud, which had made a name for itself by launching the careers of several artists, who uploaded their music directly to the platform, including Billie Eilish and Post Malone. Besides streaming music for listeners, the platform also offered a range of services—such as marketing and distribution—to artists or independent labels partnered with SoundCloud. The company employed a "fan-powered royalties" system, whereby revenue generated by each individual user was used to pay royalties exclusively to the artists whose music was played (as opposed to aggregating revenue and listening data from all users, as practiced by Spotify and other streaming services).[83] After years of struggles, SoundCloud was now projecting positive earnings before interest, taxes, depreciation, and amortization ($2 million from revenues of $288 million) for 2023.[84]

Overall, the various labels seemed happy to collaborate with any streaming service, licensing their music to them. However, there were exceptions. For example, in February 2024, talks between UMG and ByteDance broke down, leading to the label pulling all their music from TikTok. This included a third of TikTok's top 50 tracks in the United States.[85]

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New industry trends

Much like Spotify, which had disrupted the music industry in 2008, by 2024, several new trends and innovations were showing the potential to transform music streaming and the music industry as a whole.

TunedGlobal offered "white label" streaming services to its partners, enabling them to produce their own branded music streaming apps and set up music streaming apps for Samsung, Lululemon, UFC, Sony, and Pizza Hut, among others.[86] If launching a streaming service was now trivial, could it eventually become a commodity? How might this affect Spotify?

Another source of potential disruption were "Web3" applications, which were creating new business models and relationships among actors. An example was Audius, a decentralized music streaming platform that employed blockchain technology. Its business model was centered on the $Audius digital token (based on the Ethereum protocol). Audius customers earned tokens in several ways (e.g., by buying them with fiat currency or watching ads) and used them to pay for streaming music. Altogether, 85% of the fees were used to pay artists, and 15% went to the users supporting the network (by hosting and sharing tracks or developing client and backend apps).[87] The Audius catalog focused on independent artists, but early investors included artists such as Katy Perry, the hip-hop artist Nas, and music industry executives such as the former Chairman of Sony/ATV music publishing, Martin Bandier.[88]

Non-fungible tokens (NFTs)—a unique digital good that used blockchain to record ownership and authenticity—were another source of potential innovation. NFTs could not be copied, substituted, or subdivided, but they could be sold or traded. Nas, the abovementioned Audius investor, sold NFTs tied to his music releases. The holders of these NFTs received a percentage of the royalties from the corresponding song, skipping labels entirely.[89]

Spotify had been quietly upgrading its platform to support features tied to NFTs. For example, holders of a particular NFT sold by an artist could gain access to exclusive content, such as playlists, and artists could promote their NFTs through their Spotify profiles.[90]

There was also AI. In the wake of the global impact of ChatGPT, a chatbot employing the powerful GPT4 generative model, the music industry became one of the arenas for testing and debating the possibilities, limits, and ethical implications of AI technology. In April 2023, Ed Sheeran announced that his upcoming album would feature at least one song written using AI and challenged listeners to guess which one.[91] That same month, several streaming services—including Spotify and Apple Music—removed the song "Heart on my Sleeve," featuring the voices of Drake and The Weeknd, when it was discovered that it was generated by AI without their permission. A few days later, Grimes offered to split royalty payments with anybody who used AI to create a hit track featuring her voice.[92]

AI could potentially impact the entire value chain of the music industry. For example, tools such as LANDR had simplified the process of mixing and engineering a master recording, saving thousands of dollars and lowering the barrier for self-published artists to create professional-sounding tracks. AI could also be used to power the discovery engines of streaming services, enabling them to offer more personalized recommendations. In live music, some AI models were found to react to a musician's playing by providing accompaniment.[93]

Spotify itself was getting involved in AI technologies. In February 2023, it began testing DJ- and AI-driven recommendation engines that also offered voiced commentary, emulating a human radio DJ.[94] It was also rolling out an AI tool that emulated the voice of podcast hosts and guests

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(who had to consent) to automatically translate their content into several languages. The company also decided to allow AI-generated music to be uploaded to its platform as long as it did not attempt to impersonate other artists.[95]

When asked about the potential effects of AI on the music industry, Ek said that it was "cool and scary," before adding the following: "These are very, very complex issues that don't have a single straight answer…. But we're in constant discussion with our partners and creators and artists and want to strike a balance between allowing innovation and, of course, protecting artists. "[96]

Spotify's future

The year 2023 was very tumultuous for Spotify. In January, it laid off 6% of its workforce, mainly centered on personnel from its podcast-related acquisitions. Two hundred additional podcasting employees were laid off in June, and several acquired content producers (e.g., Gimlet and Parcast) were folded into the new Spotify Studios unit.[97] In the interim, Ostroff left the company, and podcasting-related activities were folded into the portfolio of Alex Nörstrom, who was already overseeing the freemium music business.[98] Throughout the process, becoming a "more efficient company" was a mantra often repeated by Ek and the management team.

This coalesced in December 2023, when a further 1,500 people were laid off (17% of the workforce), and the departure of Peter Vogel, Spotify's CFO, was announced. Overall, in taking into account new hires and employees that had been placed on gardening leave, Spotify went from a headcount of 10,151 in December 2022 to 9,248 in December 2023.[99] In a letter to employees, Ek cited inflation and the high price of capital as some of the reasons behind the cuts and restructuring. He also highlighted as follows:

> When we look back on 2022 and 2023, it has truly been impressive what we have accomplished. But, at the same time, the reality is much of this output was linked to having more resources. By most metrics, we were more productive but less efficient. We need to be both.[100]

In Ek's words, Spotify was now of the belief that "rather than sort of growth at all costs, you're going to see us optimizing various parts of the funnel quarter-by-quarter."[101] While the audio strategy was the most impacted by the cuts, Spotify had not given up on it. In February 2024, Spotify extended its deal with Joe Rogan with a new contract potentially worth $250 million. *The Joe Rogan Experience* had remained the #1 global podcast on Spotify for four years. Crucially, the new deal allowed Spotify to sell ads and distribute the podcast to other platforms under revenue-sharing agreements.[102] The Ringer, one of the few acquired podcasting studios that had not been folded into Spotify Studios, had followed a similar model, and in November, Spotify had also debuted *What Now?* hosted by comedian Trevor Noah, under a similar profit-sharing arrangement and nonexclusive availability.[103] According to the company, after the restructuring, podcasting was close to breakeven in Q4 2023, and Spotify was now targeting 2024 as the first year in which podcasting would be profitable for it.[104]

Nevertheless, some questions remained pertinent. Was Spotify's new cost-conscious approach going to hurt its growth? How could it affect its main music business? So far, most of the monetization and cost-cutting measures had focused on non-music content, while music —besides a price increase that merely matched that of competitors—was left intact, although this could change. If so, how? Nonetheless, Ek stressed as follows:

> It is a new way for us to operate as a company, one where we're consistently thinking about efficiency all the time […] We are going to continuously look at being more resourceful with

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> the resources we have. But that said, that obviously leads to a concern then, okay, well, are we doing that to sacrifice at the expense of growth? And the answer should be, of course, not. That's not at all what we want to do.[105]

Indeed, Spotify's goals remained ambitious. In 2022, it set a goal of $100 billion in revenue by 2032.[106] Could the new approach really deliver profitable growth, or should it explore other possibilities, such as new ways of doing business, persevering with its audio bet, adopting new technologies, or deploying other potential business models for the platform? All things considered, what could be the future of Spotify?

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Exhibit 1

Comparison of selected music streaming services operating in 2024

	Launch date	Claimed library size	Major-label support	Non-music content	Free service	Monthly basic fee (US market)
Spotify	2008 (Sweden)	100 million	Yes	Podcasts Audiobooks	Ad-supported, shuffle mode on mobile	$10.99
Apple Music	2015 (US)	100 million	Yes	No[1]	No	$10.99
YouTube Music	2011 (as Google Play Music) (US)	100 million	Yes	Podcasts Other video content	Ad-supported, background listening disabled	$9.99
Tencent Music (QQ Music, Kugou Music, Kuwo Music)	2016 (China)	66 million (2020)	Yes	Podcasts Audiobooks Other	Ad-supported, limited library, in-app purchases	RMB 8[2]
Amazon Music Unlimited	2016 (US)	100 million	Yes	Podcasts	Ad-supported, limited library, shuffle mode only	$10.99
SoundCloud	2007 (Sweden)	200 million[3]	Yes	Podcasts	Ad-supported, limited library	$10.99
Tidal	2010 (Norway)	100 million	Yes	Podcasts Video	No	$10.99
TikTok Music	2023 (Brazil & Indonesia)	N/A	Yes	Podcasts	No	$3.49 (Brazil)

[1] Apple offered a separate app for streaming podcasts (Apple Podcasts). [2] $1.15 at February 2024 exchange rates. Tencent Music was available only in China. [3] Figure includes user-uploaded tracks.

Source: Prepared by the authors using data from the companies' websites.

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